Gold Loan Policy & Product Information

Purpose: This document is designed for testing a document-based RAG system. It contains gold-loan information only. No AI recommendation is included in the document; recommendations should be generated separately by the AI feature after retrieval.

1. Gold Loan Overview

A gold loan is a secured loan in which eligible gold jewellery or approved gold items are pledged as collateral. The loan amount depends on the assessed value and purity of the pledged gold and the applicable loan-to-value limit.

2. Eligibility

Applicants should generally be adults with valid identity and address documents and must provide eligible gold for valuation. Final eligibility is subject to lender verification and internal policy.

3. Documents Required

Common documents include identity proof, address proof, photographs, bank details where required, and documents requested for gold ownership or verification. The lender may request additional documents.

4. Gold Valuation

The pledged gold is inspected for purity, weight, condition, and eligibility. Non-gold materials, stones, and other deductions may affect the eligible assessed value. The final valuation is determined during the lender's appraisal process.

5. Loan Amount and LTV

The approved loan amount is calculated from the eligible assessed value of the gold and the applicable loan-to-value limit. The maximum amount is subject to lender policy, regulatory requirements, and the customer's eligibility.

6. Interest and Charges

Interest is charged according to the applicable loan scheme. Other possible charges may include processing fees, valuation charges, documentation charges, late-payment charges, or applicable auction-related charges. Customers should review the applicable fee schedule before accepting the loan.

7. Repayment

Repayment options depend on the selected product. A customer may have options such as regular instalments, interest servicing with principal repayment, or another approved repayment structure. The exact schedule is stated in the loan agreement.

8. Late Payment and Default

If required payments are not made on time, additional charges may apply and the account may become overdue. Continued non-payment can result in recovery actions according to the loan agreement and applicable rules.

9. Release of Pledged Gold

After all required dues are paid and the account is closed according to the loan terms, the pledged gold can be released after completion of the lender's verification and release process.

10. Auction / Recovery

If the borrower remains in default and the account reaches the applicable recovery stage, the lender may initiate the process described in the loan agreement and applicable regulations, including possible auction of the pledged gold after required notices and procedures.

11. Example Customer Record for AI Testing

Field	Example
Customer	Rahul Shah
Gold assessed value	■2,40,000
Loan requested	■1,50,000
Tenure	12 months
Current status	Active
Repayment	Monthly interest with principal due as per agreement

12. Questions for the New AI Recommendation Feature

These questions are intentionally included to test whether the AI can retrieve the correct gold-loan information and then provide a separate recommendation or next-step explanation. The recommendation itself is NOT written in this document.

1. Based on the customer's gold valuation and requested loan amount, what should the AI recommend the customer check before applying?

2. If the customer wants a lower monthly burden, what loan or repayment factors should the AI explain?

3. What information should the AI ask for before recommending a suitable gold-loan option?

4. If the customer is late on repayment, what should the AI recommend they do first?

5. What risks should the AI highlight before a customer pledges gold?

6. Should the customer choose this loan immediately, or should the AI first compare interest, charges, tenure, and repayment terms?

7. What documents should the customer prepare before starting the application?

8. What should the AI explain about the consequences of continued non-payment?

13. Expected New Feature

When this document is uploaded, the system should display the extracted gold-loan information and allow the user to ask questions. A new AI Recommendation feature can then use the retrieved information plus the user's situation to generate a recommendation, explanation, warning, or next-step suggestion. Every factual answer should be grounded in the uploaded document.

Note: This is a test document, not financial advice. Actual loan eligibility, rates, charges, LTV limits, and recovery procedures depend on the lender, current regulations, and the executed loan agreement.